

New leaders can find a path out of policy failure swamp

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There are now so many instances in which the government is failing to make and implement sensible policy decisions around SA's economic infrastructure, where good governance is being undermined and corruption is out of control, that the country's prospects for economic growth and development are bleak.

Any one instance of government dereliction is troubling, but the cumulative effect of multiple areas of insouciant neglect, or deliberate abuse, of our infrastructure industries indicates a government that has little understanding of the importance of energy, telecommunications, transport and water for economic growth, employment creation and poverty reduction. Or, perhaps, factions within the government and the governing party have ceased caring and are focused only on diverting contracts to the favoured few or to the party itself?

Here's an incomplete catalogue of critical areas where the government is fatally complacent or where there are serious allegations of rent-seeking and corruption.

Amendments to the Mineral and Petroleum Resources Development Bill, first published in 2012, remain unresolved, creating uncertainty not only for mining investments, but also for exploration. Neither the departments of mineral resources nor energy show any urgency in clearing the regulatory, licensing and environmental impediments to onshore and offshore drilling that might prove economic gas resources that could transform our energy economy through a more sustainable energy mix, improved balance of payments and more employment opportunities.

One of the Central Energy Fund's companies recently sold 10-million barrels of our oil reserves at below market prices without the permission of the energy minister or the Treasury. Insufficient funds are available for purchasing new strategic stocks. No one has yet been prosecuted.

Eskom is the largest of SA's state-owned enterprises (SOEs), with annual revenue of R160bn. Its largest expenditure item is coal. Contrary to recent Eskom news statements, its long-term cost-plus contracts with tied coal mines were cheap. But these contracts are not being renewed and are being given to smaller, new mining entrants. That, in itself, is positive for empowerment, but little investment is being made in new mines. Eskom is openly defying the Treasury's scrutiny of these contracts. The government has not acted on the recommendations of the Coal Road Map published in 2013. The risks of coal shortages and steep increases in coal and electricity prices are real.

There are also allegations of corruption in Eskom contracts for the refurbishment of Koeberg nuclear generators and the construction of new power stations, such as Ingula. Eskom tariffs have increased four-fold in a decade, mainly as a result of cost and time overruns on its new power plants. Restructuring recommendations in the energy policy white paper of 1998 have not been implemented and Eskom now frustrates the entry of cheaper private independent power projects through delayed and inflated transmission connection costs and by refusing to sign new power-purchase agreements.

Government interventions in the telecommunications sector have been either misdirected or absent. Telkom was partially privatised while still enjoying a monopoly in fixed-line telephony and other services. The result was price gouging and the frustration of competition. Huge budgets dedicated to universal access were wasted as Telkom lost more phone connections than it gained.

Telkom's control of the "last-mile" in copper and slowness in moving to fibreoptic cables and Broadband Infraco's sclerotic performance, among other policy and regulatory failures, have resulted in South Africans having slower and more limited internet access than many of our African neighbours. SA has missed the deadline set by the International Telecommunications Union to migrate our television services from analogue to digital signals by 2015, which would have freed up radio spectrum for broadband, but few in the government seem to care. There is no urgency. Instead, the fight seems to be about which companies will benefit from contracts.

While Transnet has produced reasonable financial results, it has come at a cost to the economy. Transnet is unique in being an integrated rail, ports and pipeline utility. Few other transport companies in the world enjoy such protected market share. Unsurprisingly, its ports, general rail freight and pipeline charges are way higher than international norms. It costs more for South African companies to export or import. Treasury studies and proposals for transport reform, dating to 2007, gather dust.

Allegations of corruption in rail tenders abound. Shell companies, with no experience, have been awarded multibillion-rand tenders. It is alleged that some of this money went to the ANC. The transport minister has tried to close down investigations. Like the arms deal, these allegations will not go away. There will be court cases. In the meantime, the renewal of rolling stock and other infrastructure is delayed and is much more expensive than it should have been.

South African Airways lurches from crisis to crisis with naive and crude attempts to extract rent as it desperately seeks new funding. Its management has been decimated and whistle-blowers victimised. Yet the president blocks all attempts to replace its disastrous board. And the future of water supply to the Johannesburg region is threatened by delays to the second phase of the Lesotho Highlands Water Project caused by political interventions seeking favoured access to contracts for party-connected individuals.

None of the above incidents will be new to readers of this newspaper. However, the full catalogue of indifference or malfeasance reveals the extent to which the governance of key infrastructure ministries and SOEs has broken down. The boards and management openly defy the public enterprises ministry and the Treasury. This would have been inconceivable a few years ago.

None of the recommendations of the Presidential Review Committee on State-owned Entities, tabled in 2013, has been adopted. The one claimed recommendation — that the president chair a new State-Owned Companies Co-ordinating Council — is a fiction and does not augur well given previous actions to undermine good governance in SOEs.

SA needs to enhance economic opportunities for black-owned companies, but rent-seeking attempts are a zero-sum game that will destroy financial sustainability.

The president, his Cabinet and the ANC's national executive committee have to take responsibility for this failure in governance and economic management. Either they have to demonstrate seriousness in growing our economy and employment or we have to conclude that their failure to make progress in obvious economic and infrastructure policy areas, or to speak up against blatant corruption, is a tacit acceptance of the inevitable decline of our infrastructure, our economy and, ultimately, of a once principled liberation movement.

It is entirely possible to make systematic and measurable progress across all these identified infrastructure areas. It would create a positive shift in investment flows and optimism in SA's

ability to deal with the challenges of unemployment, poverty and inequality. But that would require a renewal of political leadership.

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